

SMID BREAKOUT SCANNER

MARKET CLOSE

July 16, 2026 | 04:45 PM ET

14 setups identified | 2 A-Grade | 6 B-Grade | 6 C-Grade

Grade Summary

A - Breakout Setup (2)	B - Strong Setup (6)	C - Watch List (6)
KFRC	DSGR	MAAS
CVLG	MAN	SION
	HBB	SMA
	JAKK	HUBG
	KARO	GRPN
	SMG	ROOT

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	KFRC	Kforce, Inc.	Staffing Recovery	\$58.71	+5.8%	\$1.1B	15M	+83.7	98%	Breakout driven by sec
A	CVLG	Covenant Logisti	Freight Recovery	\$48.21	+5.1%	\$1.2B	15M	+58.1	98%	Breakout driven by imp
B	DSGR	Distribution Sol	Industrials Recov	\$34.43	+25.3%	\$1.6B	42M	+20.9	99%	Massive 25% breakout o
B	MAN	ManpowerGroup	Staffing Recovery	\$51.65	+32.4%	\$2.4B	42M	+63.2	98%	32% breakout on today'
B	HBB	Hamilton Beach B	Consumer Recovery	\$24.10	+6.7%	\$0.3B	6M	+14.9	96%	Breakout on improving
B	JAKK	JAKKS Pacific, I	Toys & Licensing	\$24.84	+8.4%	\$0.3B	9M	+9.2	99%	Breakout driven by str
B	KARO	Karooooo Ltd.	Fleet Telematics	\$65.16	+11.2%	\$2.0B	8M	+22.3	98%	Breakout likely driven
B	SMG	Scotts Miracle-G	Lawn & Garden Rec	\$73.47	+8.1%	\$4.3B	44M	+11.7	98%	Breakout driven by imp
C	MAAS	Maase Inc.	Financials	\$20.95	+26.4%	\$9.3B	98M	+172.8	84%	26% surge on 3.68x vol
C	SION	Sionna Therapeut	Biotech	\$45.29	+2.0%	\$2.0B	17M	-7.2	94%	Tight coil (base_tight
C	SMA	SmartStop Self S	Self-Storage REIT	\$35.00	+5.6%	\$1.9B	55M	+2.7	88%	Breakout driven by sel
C	HUBG	Hub Group, Inc.	Freight & Logisti	\$51.41	+7.5%	\$3.1B	59M	+17.5	96%	Breakout on improving
C	GRPN	Groupon, Inc.	Consumer Recovery	\$28.58	+10.0%	\$1.1B	18M	+76.9	66%	Breakout driven by imp
C	ROOT	Root, Inc.	Insurtech	\$59.43	+6.7%	\$0.9B	13M	+7.6	44%	Breakout on improving

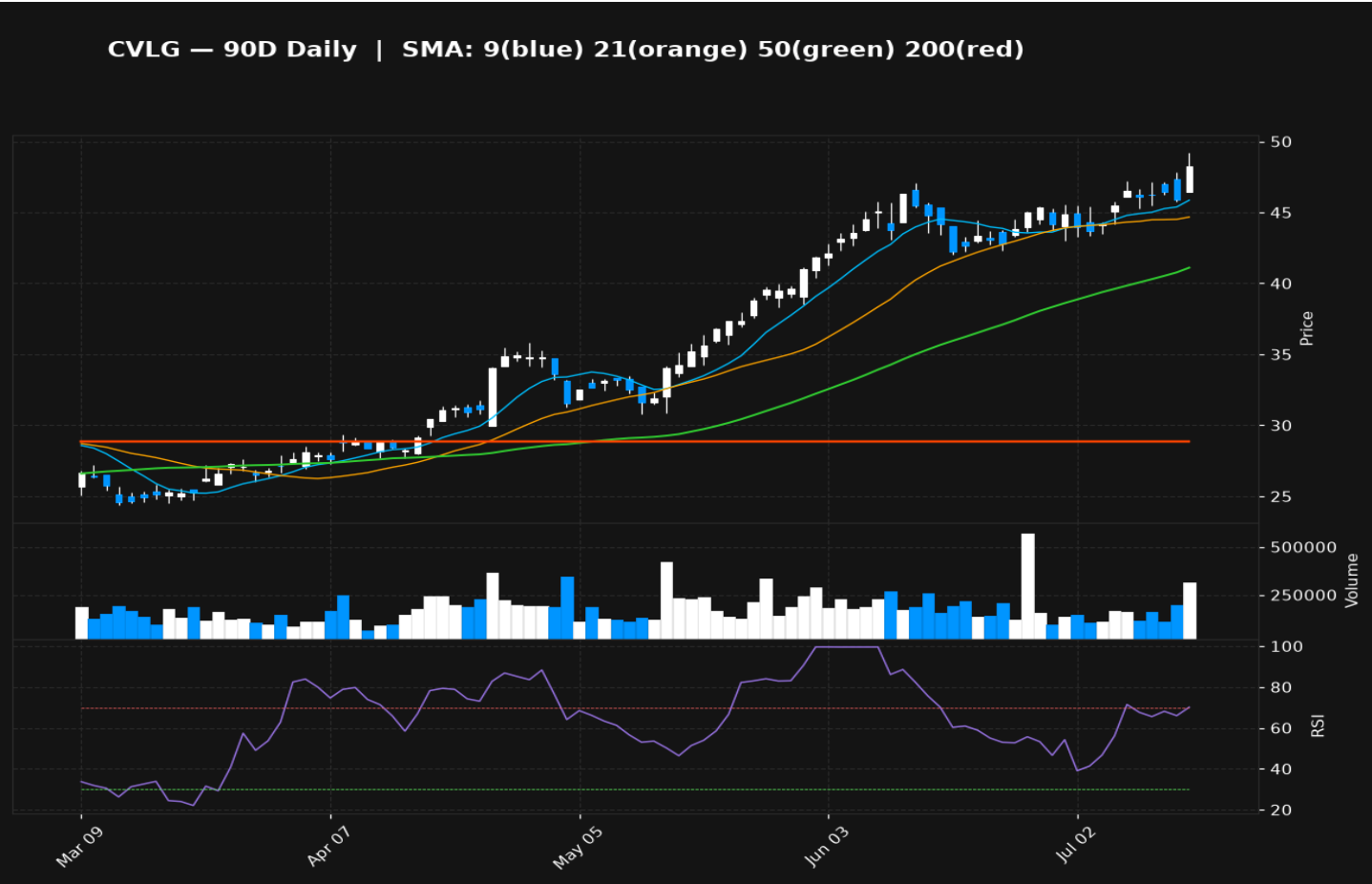
SETUP METRICS	
Price	\$58.71
Day Change	+5.80%
Mkt Cap	\$1.05B
Float	15M sh
RS vs SPY	+83.7%
52W Hi Prox	98%
Base Tight	4.13
Vol vs Avg	1.87x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout driven by sector momentum following ManpowerGroup's blowout earnings today, with the market extrapolating staffing demand strength across the sector. Forward catalyst is KFRC's own earnings on July 27 (11 days), where a beat and raise would confirm the sector thesis.
BUSINESS & POSITION
Kforce is a professional staffing firm specializing in technology and finance placements, serving clients with higher-margin, skilled labor. The company benefits from corporate hiring in IT and financial services, positioning it to capture white-collar demand recovery.
FACTOR & THEME
Direct exposure to the labor market recovery and technology hiring, both accelerating themes. The Financials sector is up 3.8% vs SPY this week, and staffing firms are double-leveraged to risk-on regimes. KFRC's tech-focused staffing aligns with ongoing demand for IT talent.
BREAKOUT SIGNAL
Close above \$58.71 on vol >187% of 20d avg
INSTITUTIONAL
RS vs SPY of +83.7 is elite, placing this in the top decile of momentum leaders. The RS line at new high confirms institutional accumulation. Volume at 1.87x is solid but not extreme, suggesting measured buying rather than a blowoff. The tiny float (15.4M shares) creates significant short-squeeze and liquidity-driven follow-through potential. No insider buying in the last 60 days.
EARNINGS
EARNINGS IN 11D
EARNINGS CONTEXT
Next earnings July 27. Consensus data not available, but the stock's strength into the print suggests institutional positioning for a beat. If KFRC follows MAN's lead and delivers a strong quarter with raised guidance, this setup has substantial upside. Historical beat pattern is critical to assess.
KEY RISK
Thesis invalid on a close below \$55, which would break the current breakout structure. Also at risk if the July 27 earnings disappoint or if MAN's strength proves company-specific rather than sector-wide, leaving KFRC exposed on its own fundamentals.
ANALYSIS
Five A-grade criteria met: RS line at new high, prox_52w 98.4, RS vs SPY +83.7 (elite), volume 1.87x, and a clear forward catalyst (earnings in 11 days). The base is wider than ideal (4.13 vs <2.0), but the combination of sector tailwind (MAN's breakout today), exceptional relative strength, and the tiny float in a risk-on regime outweighs that weakness. Strongest disconfirming evidence: the setup is front-running earnings, which is binary-if KFRC misses or guides cautiously, the small float amplifies downside volatility. However, the sector setup and RS dominance justify high conviction. Conviction: High.
Signal: Close above \$58.71 on vol >187% of 20d avg
Vol vs Avg: 1.87x



SETUP METRICS	
Price	\$48.21
Day Change	+5.06%
Mkt Cap	\$1.21B
Float	15M sh
RS vs SPY	+58.1%
52W Hi Prox	98%
Base Tight	2.9
Vol vs Avg	1.85x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout driven by improving freight demand indicators and potential sector rotation into cyclical industrials. Forward catalyst is the July 29 earnings print in 13 days, where the market will assess whether trucking rates and volumes have inflected positively.
BUSINESS & POSITION
Covenant Logistics Group operates a diversified trucking and logistics business, including expedited, dedicated, and managed freight services. The company is a regional truckload carrier exposed to U.S. freight cycle recovery.
FACTOR & THEME
Exposed to the industrial and freight recovery theme, benefiting from inventory restocking, manufacturing activity, and potential truck rate stabilization. The Industrials sector is up 3.8% vs SPY this week, and trucking stocks are early-cycle indicators of economic acceleration.
BREAKOUT SIGNAL
Close above \$48.21 on vol >185% of 20d avg
INSTITUTIONAL
RS line at new high and RS vs SPY of +58.1 confirm institutional accumulation. The 1.85x volume is moderate, suggesting controlled buying rather than a speculative spike. The tight float (15.1M shares) on a \$1.2B market cap provides significant leverage if earnings beat. No insider buying in the last 60 days, which is notable given the proximity to earnings.
EARNINGS
EARNINGS IN 13D
EARNINGS CONTEXT
Next earnings July 29. Consensus data not available, but the stock's strength into the print suggests positioning for a positive surprise. Trucking companies have faced margin pressure from excess capacity; a beat would signal that pricing and utilization are inflecting positively.
KEY RISK
Thesis invalid on a close below \$46, breaking the breakout pivot, or on disappointing July 29 earnings. Trucking is a highly cyclical, commoditized business-if freight demand or rates disappoint, the stock will gap down aggressively given the small float.
ANALYSIS
Four A-grade criteria met: RS line at new high, prox_52w 98.0, RS vs SPY +58.1, and volume 1.85x with a forward earnings catalyst in 13 days. The base_tight of 2.9 is slightly above ideal (<2.0) but acceptable. The combination of sector tailwind (Industrials leading), tight float, and pre-earnings positioning justifies A-grade. Strongest disconfirming evidence: trucking is a notoriously difficult sector to trade due to boom-bust cyclicality, and zero insider buying ahead of earnings suggests management may lack conviction. However, the technical setup and sector momentum warrant the grade. Conviction: Medium.
Signal: Close above \$48.21 on vol >185% of 20d avg
Vol vs Avg: 1.85x



DSGR

Distribution Solutions Group, Inc.

\$34.43

+25.29%

RS vs SPY: +20.9%

B STRONG SETUP

\$1.6B Cap | 42M Float

Industrial Distribution | Theme: Industrials Recovery | 52W Hi: 99% | Base Tight: 11.49 | Vol: 37.94x | RS/SPY: +20.9% | Above 20MA: YES | EARNINGS IN 14D

Setup Metrics	
Price	\$34.43
Day Change	+25.29%
Mkt Cap	\$1.59B
Float	42M sh
RS vs SPY	+20.9%
52W Hi Prox	99%
Base Tight	11.49
Vol vs Avg	37.94x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Massive 25% breakout on extreme 38x volume suggests major news or acquisition leak driving today's move; forward catalyst is the July 30 earnings print in 14 days, where the market will validate whether the move was justified by fundamental improvement.

BUSINESS & POSITION

Distribution Solutions Group provides specialty consumables and equipment to the industrial MRO, hydraulics, and production automation markets. The company serves as a value-added distributor with technical expertise, competing in a fragmented \$50B+ industrial distribution market.

FACTOR & THEME

Exposed to U.S. industrial recovery, reshoring tailwinds, and manufacturing capacity expansion. The Industrials sector is up 3.8% vs SPY this week, providing sector rotation support.

BREAKOUT SIGNAL

Close above \$34.43 on vol >3800% of 20d avg

INSTITUTIONAL

The 38x volume surge is institutional-scale but lacks insider buying in the last 60 days. The extremely tight float (42M shares) on a \$1.6B market cap amplifies volatility and creates squeeze potential, but the absence of Form 4 filings ahead of earnings raises questions about management conviction.

EARNINGS

EARNINGS IN 14D

EARNINGS CONTEXT

Next earnings July 30. Consensus data not available in feed, but the proximity of earnings (14 days) to this breakout suggests either a leak or institutional positioning ahead of a beat. Historical beat pattern critical to validate at earnings.

KEY RISK

Thesis invalid if the stock closes back below the \$30 breakout pivot before earnings, or if the July 30 print disappoints and gaps down through \$32. The exceptionally wide base (base_tight 11.49) signals prior volatility and increases downside gap risk.

ANALYSIS

The RS line at new high and proximity to 52W high (98.9) are institutional-quality signals, but the extraordinarily wide base (11.49 vs. ideal <2.0) disqualifies this from A-grade-it reflects a choppy, range-bound setup rather than a tight VCP coil. The 14-day earnings catalyst is binary: if this move is front-running a beat, it's explosive; if it's a false breakout or leak on bad news, the wide base offers no technical support. Strongest disconfirming evidence: zero insider buying despite being 2 weeks from a major earnings event. Conviction: Medium.

Signal: Close above \$34.43 on vol >3800% of 20d avg

Vol vs Avg: 37.94x



MAN

ManpowerGroup

\$51.65

+32.37%

RS vs SPY: +63.2%

B STRONG SETUP

\$2.4B Cap | 42M Float

Staffing & Employment Services | Theme: Staffing Recovery | 52W Hi: 98% | Base Tight: 6.63 | Vol: 3.46x | RS/SPY: +63.2% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$51.65
Day Change	+32.37%
Mkt Cap	\$2.40B
Float	42M sh
RS vs SPY	+63.2%
52W Hi Prox	98%
Base Tight	6.63
Vol vs Avg	3.46x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
32% breakout on today's earnings report, indicating a massive beat and/or guidance raise that re-rates the stock. Forward catalyst path includes the next quarterly print (likely late October) and any near-term labor market data releases that validate the staffing demand inflection.
BUSINESS & POSITION
ManpowerGroup is a global workforce solutions and staffing giant serving both temporary and permanent placement markets. As a bellwether for labor demand, the company's earnings reflect broad economic hiring trends.
FACTOR & THEME
Direct exposure to the economic recovery theme, benefiting from improving labor markets and corporate hiring. Staffing firms typically lead in mid-cycle expansions when companies shift from cautious to aggressive hiring. The current risk-on, small-cap leadership regime is highly favorable.
BREAKOUT SIGNAL
Close above \$51.65 on vol >346% of 20d avg
INSTITUTIONAL
The 3.46x volume surge on an earnings beat is classic institutional repositioning. The RS line at new high and RS vs SPY of +63.2 confirms smart money has been accumulating aggressively into this print. No insider buying in the last 60 days, but the timing makes sense-insiders were in blackout ahead of earnings. The tight float (41.9M) on a \$2.4B market cap amplifies follow-through potential.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Reported today. The 32% surge indicates a significant earnings beat and likely guidance raise, but consensus figures are not available in the feed. Historical beat pattern and forward guidance from today's call will determine whether this is a re-rating or a one-day pop.
KEY RISK
Thesis invalid on a close back below \$45, which would represent a failed breakout and rejection of the earnings gap. Also vulnerable to any macro labor market weakness (rising unemployment, weak jobless claims) that would call the staffing recovery into question.
ANALYSIS
Despite the massive 32% earnings gap and RS line at new high, the wide base (6.63, far from ideal <2.0) and the fact that this is a post-earnings reaction gap-not a pre-earnings setup-downgrades it from A. Earnings gaps often fade within days as profit-taking sets in, especially when the base was wide entering the event. The strongest disconfirming evidence: the move is already complete; there's no clear forward catalyst for weeks. If guidance was exceptional, this could consolidate and become an A-grade setup later. For now, it's a strong B-momentum is confirmed, but the entry is riskier post-gap. Conviction: Medium.
Signal: Close above \$51.65 on vol >346% of 20d avg
Vol vs Avg: 3.46x



HBB

Hamilton Beach Brands Holding C

\$24.10

+6.73%

RS vs SPY: +14.9%

B STRONG SETUP

\$0.3B Cap | 6M Float

Furnishings, Fixtures & Appliances | Theme: Consumer Recovery | 52W Hi: 96% | Base Tight: 2.76 | Vol: 1.93x | RS/SPY: +14.9% | Above 20MA: YES | EARNINGS IN 20D

Setup Metrics	
Price	\$24.10
Day Change	+6.73%
Mkt Cap	\$0.33B
Float	6M sh
RS vs SPY	+14.9%
52W Hi Prox	96%
Base Tight	2.76
Vol vs Avg	1.93x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver Breakout on improving consumer appliance demand and potential market share gains in the small appliance category. Forward catalyst is the August 5 earnings print in 20 days, where the market will assess whether sales trends and margins are improving after a difficult 2024-2025 period.
Business & Position Hamilton Beach designs and distributes branded small household appliances (blenders, coffee makers, irons) primarily in North America. The company competes in a mature, competitive category but benefits from brand recognition and retail relationships.
Factor & Theme Exposed to the consumer spending recovery theme, particularly in durables and home goods. With inflation moderating and consumer confidence improving, small appliance purchases (a discretionary but affordable category) are recovering. The Consumer Cyclical sector has been mixed, but pockets of strength are emerging.
Breakout Signal Close above \$24.10 on vol >193% of 20d avg
Institutional RS line at new high confirms leadership, and the 1.93x volume surge is solid. The ultra-tight float (6.5M shares) on a \$330M market cap creates significant volatility and squeeze potential-any positive earnings surprise could drive explosive upside. No insider buying in the last 60 days, which is a notable absence given the small size and family-controlled nature of the company.
Earnings Earnings in 20D
Earnings Context Next earnings August 5. Consensus data not available, but the stock's strength suggests positioning for a beat. Small appliance companies faced margin pressure from tariffs, freight costs, and weak consumer demand; any sign of margin recovery or sales growth would re-rate the stock.
Key Risk Thesis invalid on a close below \$23, breaking the breakout pivot, or on disappointing August 5 earnings. The company operates in a highly competitive, low-margin category-any guidance cut or margin miss would lead to a sharp reversal given the tiny float.
Analysis Three A-grade criteria met: RS line at new high, prox_52w 96.2, and volume 1.93x with a forward earnings catalyst in 20 days. However, RS vs SPY of +14.9 is solid but not elite, and the base_tight of 2.76 is acceptable but not textbook tight. The ultra-small float is a double-edged sword-it amplifies both upside and downside. Strongest disconfirming evidence: the consumer appliance category is mature and low-growth, and zero insider buying ahead of earnings suggests management may not have strong conviction in a near-term inflection. Downgrading to B due to lower RS and sector headwinds. Conviction: Medium.
Signal: Close above \$24.10 on vol >193% of 20d avg Vol vs Avg: 1.93x



Setup Metrics	
Price	\$24.84
Day Change	+8.38%
Mkt Cap	\$0.28B
Float	9M sh
RS vs SPY	+9.2%
52W Hi Prox	99%
Base Tight	3.52
Vol vs Avg	3.08x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

Analysis
Catalyst / Today's Driver
Breakout driven by strength in licensed toy sales and potential market share gains ahead of back-to-school and holiday seasons. Forward catalyst is the July 23 earnings print in 7 days, where the market will assess Q2 sales trends and full-year guidance.
Business & Position
JAKKS Pacific designs and markets toys and consumer products, focusing on licensed properties (Disney, Nintendo) and proprietary brands. The company operates in the highly seasonal, hit-driven toy industry, competing with larger players like Hasbro and Mattel.
Factor & Theme
Exposed to the consumer discretionary recovery, particularly in the toys category, which has been under pressure from video game competition and retail channel shifts. Any strength in licensing revenue or direct-to-consumer sales would be a positive catalyst. The Consumer Cyclical sector is mixed, and toys remain a challenging category.
Breakout Signal
Close above \$24.84 on vol >308% of 20d avg
Institutional
RS line at new high and prox_52w of 99.0 are strong technical signals. The 3.08x volume surge is institutional-scale. The tiny float (9.1M shares) on a \$280M market cap creates significant volatility-this is a highly speculative, low-liquidity setup where any earnings surprise moves the stock violently. No insider buying in the last 60 days.
Earnings
Earnings in 7D
Earnings Context
Next earnings July 23 (7 days). Consensus data not available, but the stock's strength suggests positioning for a beat. JAKKS has a history of volatility around earnings due to the hit-driven nature of the toy business. Q2 is a critical setup quarter for the holiday season, so guidance will be key.
Key Risk
Thesis invalid on a close below \$23, breaking the breakout pivot, or on disappointing July 23 earnings. The toy industry is notoriously difficult-hits are unpredictable, and retail orders can shift quickly. Given the tiny float, a miss would gap the stock down sharply.
Analysis
Three A-grade criteria met: RS line at new high, prox_52w 99.0, and volume 3.08x with a forward earnings catalyst in 7 days. However, RS vs SPY of +9.2 is weak (barely above SPY), and the base_tight of 3.52 is wider than ideal. The toy industry is highly cyclical and challenging, and JAKKS is a micro-cap with lumpy earnings. Strongest disconfirming evidence: the low RS vs SPY suggests this is not an institutional favorite, and zero insider buying ahead of a critical earnings print raises questions. Downgrading to B due to weak relative strength and sector/business-model risk. Conviction: Low.
Signal: Close above \$24.84 on vol >308% of 20d avg
Vol vs Avg: 3.08x



KARO

Karooooo Ltd.

\$65.16

+11.23%

RS vs SPY: +22.3%

B STRONG SETUP

\$2.0B Cap | 8M Float

Software - Application | Theme: Fleet Telematics | 52W Hi: 98% | Base Tight: 4.44 | Vol: 2.45x | RS/SPY: +22.3% | Above 20MA: YES | EARNINGS IN 89D

SETUP METRICS	
Price	\$65.16
Day Change	+11.23%
Mkt Cap	\$2.01B
Float	8M sh
RS vs SPY	+22.3%
52W Hi Prox	98%
Base Tight	4.44
Vol vs Avg	2.45x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout likely driven by strong momentum in the fleet management and telematics software category, benefiting from commercial fleet digitization trends. Forward catalyst path is limited-next earnings is 89 days away (October 13), leaving no near-term binary event to sustain the move. Any corporate updates (contract wins, expansion announcements) would be the key forward drivers.
BUSINESS & POSITION
Karooooo provides fleet management and telematics software solutions, primarily in South Africa and emerging markets, helping businesses track vehicles, manage logistics, and improve fleet efficiency. The company is a niche leader in its core geographies.
FACTOR & THEME
Exposed to the digitization of commercial fleets, a secular growth theme driven by logistics efficiency, safety regulations, and IoT adoption. The company also benefits from African economic growth and fleet expansion. However, the theme is relatively mature in developed markets, and the company's emerging-market exposure adds volatility.
BREAKOUT SIGNAL
Close above \$65.16 on vol >245% of 20d avg
INSTITUTIONAL
The 2.45x volume surge is solid but not extreme. The ultra-tight float (7.5M shares) on a \$2B market cap creates significant liquidity constraints and volatility-this is a thinly traded stock where even modest buying drives large moves. RS vs SPY of +22.3 is good but not elite. No insider buying in the last 60 days, and the RS line is NOT at a new high, which downgrades the institutional conviction signal.
EARNINGS
EARNINGS IN 89D
EARNINGS CONTEXT
Next earnings October 13 (89 days). Consensus data not available. The long runway to the next earnings means this breakout lacks a near-term catalyst to sustain momentum-it's a pure technical move that will need corporate news or sector tailwinds to follow through.
KEY RISK
Thesis invalid on a close below \$62, breaking the breakout pivot. With no earnings catalyst for three months, the stock is vulnerable to profit-taking, sector rotation, or any emerging-market volatility (currency, geopolitical risk). The tiny float amplifies both upside and downside.
ANALYSIS
Strong technicals (prox_52w 98.4, volume 2.45x, RS vs SPY +22.3) but the RS line is NOT at new high, which is a critical missing piece for A-grade. The 89-day gap to the next earnings is a major weakness-no forward catalyst path to sustain the move. Strongest disconfirming evidence: the base_tight of 4.44 is wide, and the stock is breaking out without a clear catalyst, suggesting this may be a low-conviction technical move rather than an institutional setup. Solid B-grade on technicals, but the lack of a forward catalyst and the missing RS line new high prevent an upgrade. Conviction: Medium.
Signal: Close above \$65.16 on vol >245% of 20d avg
Vol vs Avg: 2.45x



SETUP METRICS	
Price	\$73.47
Day Change	+8.06%
Mkt Cap	\$4.27B
Float	44M sh
RS vs SPY	+11.7%
52W Hi Prox	98%
Base Tight	3.55
Vol vs Avg	1.93x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Breakout driven by improving consumer spending on lawn and garden products, potential margin recovery, and positioning ahead of the July 29 earnings print in 13 days, where the market will assess whether sales and margins have stabilized after two years of weakness.

BUSINESS & POSITION

Scotts Miracle-Gro is the dominant U.S. consumer lawn and garden products company, selling fertilizers, pesticides, mulch, and grass seed under the Scotts, Miracle-Gro, and Ortho brands. The company also has exposure to hydroponic systems (Hawthorne division, which serves cannabis growers).

FACTOR & THEME

Exposed to the consumer discretionary recovery, particularly in home and garden spending, which has been weak post-pandemic as consumers pulled back on lawn care. The company is also levered to housing turnover (new homeowners drive lawn spending) and weather patterns. The cannabis grow equipment business (Hawthorne) has been a headwind, but any stabilization there would be positive.

BREAKOUT SIGNAL

Close above \$73.47 on vol >193% of 20d avg

INSTITUTIONAL

The 1.93x volume surge is moderate. RS vs SPY of +11.7 is weak-this stock has barely outperformed the market, suggesting limited institutional conviction. The RS line is NOT at a new high, which is a key missing signal. No insider buying in the last 60 days, despite the company being in a turnaround phase where management buying would signal confidence.

EARNINGS

EARNINGS IN 13D

EARNINGS CONTEXT

Next earnings July 29 (13 days). Consensus data not available, but the stock's strength suggests positioning for a beat or, more likely, relief that the worst is over. Scotts has faced margin pressure from input costs and weak demand; any guidance raise or margin improvement would re-rate the stock.

KEY RISK

Thesis invalid on a close below \$70, breaking the breakout pivot, or on disappointing July 29 earnings. The company is highly levered to consumer spending and weather-a weak print or cautious guidance would gap the stock down. The Hawthorne (cannabis) division remains a wildcard and a potential source of continued losses.

ANALYSIS

Three criteria met: prox_52w 97.6, volume 1.93x, and forward earnings catalyst in 13 days. However, RS vs SPY of +11.7 is weak (barely above market), the RS line is NOT at new high, and the base_tight of 3.55 is wider than ideal. Strongest disconfirming evidence: the company is in a turnaround rather than a growth phase, and zero insider buying ahead of a critical earnings print suggests management lacks conviction. The setup is front-running earnings in a challenged business. Solid B-grade on technicals and earnings timing, but the weak RS and missing institutional signals prevent an upgrade. Conviction: Low.

Signal: Close above \$73.47 on vol >193% of 20d avg

Vol vs Avg: 1.93x

